CORPORATE REPORTING
Suggested Answers
March-April 2022

Answer to the Question # 1 (a)

Calculation of goodwill:
Goodwill is calculated as the difference between Consideration paid and the fair value of assets acquired, and liability assumed.
For acquisition of Queen Ltd, King have paid an amount of BDT 320,732,980 to acquire 95% shares. This is purchase consideration.
At the time of acquisition, Queen had net asset of BDT 74,173,853 (Share capital of BDT 51,000,000 and Retained earnings of 23,173,853). However, this does not to be in fair value as Land owned by Queen Ltd is not recognized in Fair value. Furthermore, King acquired confirmed contract during acquisition this also needs to be considered during goodwill calculation.

1. **Fair value adjustment on Land:**
   Land is currently recognized at 48,000,000 which has fair value of 65,000,000. King should recognize the land acquired at fair value. Therefore, there would be a fair value adjustment of BDT 17,000,000 in net asset acquired.

2. **Capitalizing customer contracts:**
   Information provided, there are two contracts at Queen Ltd. One is ongoing and another is new. Both Contract will be valid for two years and each is expected to generate BDT 5,500,000 per year. That means, there will be confirmed revenue of 11,000,000. Queen earns 8% margin on similar contracts. So, there will be confirmed profit of BDT 440,000 for next two years. King need to calculate the present value of the profits and capitalize it as customer contract. Present value of the profit is (440,000/1.1) + (440,000/1.1^2) = 763,636 which need to be capitalized and considered at the time of goodwill calculation. Customer contract will be amortized over two years.

Hence Goodwill calculation would be:		
Purchase Consideration	:	320,732,980
Less: Fair value of net asset acquired	**:**	
Net asset of the company	: 74,173,853	
Add: Fair value adjustment for land	: 17,000,000	
Add: Customer Contracts	: 763,636	
Less: Irrecoverable receivables	: (750,000)	
Fair value of net assets of Queen Ltd.	: 91,187,489	
Less: Minority interest (5%)	: 4,559,375	
Fair value of net asset acquired	:	86,628,114
Goodwill		**234,104,866**

Answer to the Question # 1 (b)

1. **Recognition on research, development and promotional expenses:**
   As per IFRS, research expense in relation to internally generated asset is not allowed to be capitalized. It is directly charged to expenses.
   It allows capitalization of development expenses if the item is considered sellable. As the Smart Shoes projects now become commercially viable and can be sold to 3rd party, the development expense can be capitalized.
   As for the promotional expenses, it needs to be charged to expenses regardless it could be creating demand which will benefit the entity in future years.
   Therefore, King Ltd. can capitalize only the development expense of 1,800,000 and amortize it over five years of product life cycle. Amortization per year will be BDT 360,000. As provided in the question, Amortization will commence in January 2022 and hence will not be considered for financial statements for 2021.

2. **Provision for paid leave:**
   From the information provided,
   King has 400 Employees.

Each have 5 days of pending paid leave.

Approximately 95% employee will avail the leave (as 5% will leave the company).

That means King need to provide for (400 x 5 x 95%) = 1900 days.

Total days available at King Ltd (400 x 255) days =102,000 days.

Total annual payroll expense of King Ltd = 8,200,000.

Hence leave provision will be (1900*8,200,000/102,000) = 152,745 taka.

Answer to the Question # 1 (c)

Consolidated adjustments:

1. **Good will calculation:**
   Goodwill has already been calculated in requirement 1. There being no impairment, goodwill amount will remain same.

2. **Amortization of Customer contract**

Customer contract recognized	763,636
Useful life	2 years
Amortization expense for the year	381,818
Book value of customer contract	381,818.

3. **Adjusted profit for Queen Ltd.**

Post-acquisition retained earnings (31,950,990-23,173,853)	= 8,777,137
Less: Amortization of customer contract	= (381,818)
Adjusted Profit	**8,395,319**

4. **Minority Interest**

Adjusted Profit	8,395,319
Less: Profit attributable to King Ltd. (95%)	(7,975,553)
Profit available for minority interest	***419,766***
Add: Minority interest added during acquisition	4,559,375
Total minority interest at the year-end	**4,979,141**

Consolidated financial statements:

Consolidated Statement of Profit or Loss
For the year ended 31 December 2021

	King Ltd.	Queen Ltd.	Adj.	Consol Adj.	Consolidated
Revenue	1,367,585,900	4,150,200,917	-	-	5,517,786,817
Cost of sales	(987,254,447)	(4,057,324,509)	-	-	(5,044,578,956)
Gross profit	**380,331,453**	**92,876,408**	**-**	**-**	**473,207,861**
Administrative and selling expenses	(294,810,295)	(225,959,565)	2,852,745	(381,818)	(518,298,933)
Other operating income	35,669,733	135,850,889	-	-	171,520,622
Operating profit	**121,190,891**	**2,767,732**	**2,852,745**	**(381,818)**	**126,429,550**
Finance expenses/ other income	(18,241,100)	14,382,455	-	-	(3,858,645)
Profit before tax	**102,949,791**	**17,150,187**	**2,852,745**	**(381,818)**	**122,570,905**
Income tax expense	(22,433,128)	(8,373,050)	-	-	(30,806,178)
Profit for the year	**80,516,663**	**8,777,137**	**2,852,745**	**(381,818)**	**91,764,727**

Consolidated Statement of Financial Position
As at 31 December 2021

	King Ltd.	Queen Ltd.	Adj	Consol Adj.	Consolidated
ASSETS					
Non-current assets					
PPE	5,821,960	120,595,110	-	17,000,000	143,417,070
Intangible assets	272,850	4,100,604	1,800,000	-	6,173,454
Deferred tax assets	1,598,000	71,130,006	-	-	72,728,006
Customer Contract	-	-	-	381,818	381,818
Goodwill	-	-	-	234,104,866	234,104,866
Investment in subsidiaries	320,732,980	-	-	(320,732,980)	-
	328,425,790	**195,825,720**	**1,800,000**	**(69,246,296)**	**456,805,214**
Current assets					
Inventories	233,992,180	434,906,172	-	-	668,898,352
Trade & other receivables	223,594,500	1,432,904,570	-	(750,000)	1,655,749,070
Advances & prepayments	214,546,000	1,706,924,508	-	-	1,921,470,508
Cash and cash equivalents	376,846,530	552,969,030	-	-	929,815,560
	1,048,979,210	**4,127,704,280**	**-**	**(750,000)**	**5,175,933,490**
Total assets	**1,377,405,000**	**4,323,530,000**	**1,800,000**	**(69,996,296)**	**5,632,738,704**
EQUITY AND LIABILITIES					
Equity					
Share capital	456,052,200	51,000,000	-	(51,000,000)	456,052,200
Retained earnings	173,368,990	31,950,990	(2,852,745)	(23,975,437)	178,491,798
	629,421,190	**82,950,990**	**(2,852,745)**	**(74,975,437)**	**634,543,998**
Current liabilities					
Minority interest	-	-	-	4,979,141	4,979,141
Bank overdraft	-	-	4,500,000	-	4,500,000
Liabilities for expenses	349,049,000	1,360,738,854	152,745	-	1,709,940,599
Trade payables	214,526,600	1,631,026,616	-	-	1,845,553,216
Provision for income tax	184,408,210	1,248,813,540	-	-	1,433,221,750
	747,983,810	**4,240,579,010**	**4,652,745**	**4,979,141**	**4,998,194,706**
Total equity & liabilities	**1,377,405,000**	**4,323,530,000**	**1,800,000**	**(69,996,296)**	**5,632,738,704**

Answer to the Question # 2

MEMORANDUM

To: Shahid Khan, Finance Director

From: Financial Controller

Date: 15 March 2022

Subject: *Accounting treatment of non-current assets*

As requested, this memorandum sets out the appropriate accounting treatment for the noncurrent assets detailed in today's email.

Stolen Lorries

The three lorries that were stolen should be written off at their NBV first and then the impairment test should be performed.

Recoverable

	NBV BDT '000	*Impairment* BDT '000	*amount* BDT '000	
Goodwill	80	(80)	–	
Intangibles	60	(2.5)	57.5	
Vehicles (240-60)	180	(7.5)	172.5	
Sundry net assets	80	____	80	
Total	400	(90)	310	Higher of VIU and NFV

BDT 80,000 is set against goodwill and the remaining BDT 10,000 is split pro rata between the other two relevant assets: BDT 2,500 against intangibles (BDT 10,000 × 60,000/(60,000+180,000)) and BDT 7,500 against vehicles (BDT 10,000 X 180,000/(60,000+180,000)). There is no need here to restrict the impairment of the intangibles.

Fall in value of machines

An impairment review will be carried out because of the losses and the haulage business problems.

For the productive machinery

	BDT
Carrying amount	580,000
Fair value less costs to sell	240,000
Value in use (200,000 X 3, discounted at 10%)	497,200

An impairment loss of BDT 82,800 (580,000 – 497,200) will be recognised in profit or loss.

Development of new product

IAS 38 *Intangible Assets* divides a development project into a research phase and a development phase. In the research phase of a project, an entity cannot yet demonstrate that the expenditure will generate probable future economic benefits. Therefore expenditure on research must be recognised as an expense when it occurs.

Therefore the expenditure on the project should be treated as follows:

			BDT m
		Recognised in statement of financial position	
	Expense (income statement)	Intangible assets	Property, plant and equipment
Research	6		
Prototype design		8	
Wage costs		4	
Development work		10	
Upgrading machinery			6
Market research	4		
Training	2		
	12	22	6

Green Home should recognise BDT 22 million as an intangible asset.

Answer to the Question # 3 (a)

Analysis of the financial Position:

Key ratios:

		2021	2020	% Change
Short term solvency ratio				
Current Ratio	$\frac{Current\ Assets}{Current\ Liabilities}$	1.47	1.75	-16%
Quick ratio	$\frac{Current\ Assets - Inventories}{Current\ Liabilities}$	0.66	0.99	-33%
Gearing Ratio	$\frac{Net\ Debt}{Equity}$	1.02	0.78	30%
Performance ratio				
Return on capital employed	$\frac{Net\ Profit}{Total\ Equity}$	-19%	-17%	10%
Return on assets	$\frac{Net\ Profit}{Total\ Asset}$	-9%	-10%	-3%
Efficiency Ratio				
Asset turnover	$\frac{Revenue}{Total\ Asset}$	1.55	1.12	38%
Net asset turnover	$\frac{Revenue}{Total\ Equity}$	3.13	2.00	57%

Commentary from ratio analysis:

Solvency of the entity:

Analysis of financial position of TOL indicates that Company has moderately strong financial position. However, the company position and performance are deteriorating from previous years.

Current ratio of TOL has decreased to 1.45 from previous 1.75. This indicates company's working capital has decreased by approximately 16%. Both current year and prior year Current Ratio is much lower than current ratio of 2 which is considered to be standard. That means TOL has ability to meet its current obligation with current asset, but

it will almost consume entire current assets. Because of this low level of working capital might cause liquidation problem to the company and lead to going concern threat in absence of access to cash.
Analysis further shows that quick ratio has also decreased significantly by 33% from previous year. Current year Quick ration is 0.66 which was 0.99 in prior year. This is lower than industry standard. This means company does not have adequate cash to pay off the current liabilities. As the quick ratio is lower than 1, it will face liquidation crisis in case it suddenly needs to pay off current liabilities.

Analysis on TOL financial statements shows that company debt has increased significantly which led to increase in debt-to-equity ratio. Debt to equity ratio has decrease to 1.02 from previous 0.78. This is due to increase in contract liability which arises when TOL received cash advance from its customers.

Company should invest more in working capital.

Performance ratios of the entity:
From the analysis of the performance ratios, it can be noticed that TOL is consistently generating negative returns for the shareholders utilizing its assets. In 2021 return on ROCE was -19% which was -17% in previous year. This means TOL is performing poorly in generating profit against the capital received. Return on total asset is also negative. ROA is -9% which was -10% in previous year. Although there is slight improvement in the situation due to revenue growth and GP% growth, but its impact in return on asset is totally insignificant.

Efficiency ratios of the entity:
Efficiency ratio aims to show how efficient an entity is in case of generating revenue utilizing its assets. Efficiency ratios shows that TOL was efficient enough compared to previous year in generating sufficient revenue utilizing its assets or equity. However, the ratio is still very negligible considering the size of business. Company's asset turnover has increased significantly by 38% from previous year. Current year ratio is 1.55 which was 1.12 in prior year. Net asset turnover of TOL has also increased significantly to 3.13 from previous 2. This is 57% increase from prior year. As TOL was able to increase revenue, its have seen positive impact in its Asset and Net Asset turnover.

Analysis of Statement of profit or loss:

	31-Dec-21	31-Dec-20	Change	Change %
Revenue	9,877,736,600	7,488,983,684	2,388,752,916	31.9%
Cost of Revenue	(9,546,353,906)	(7,373,690,098)	(2,172,663,808)	29.5%
Gross Profit	**331,382,694**	**115,293,586**	**216,089,108**	**187.4%**
GP%	**3.4%**	**1.5%**		
Net profit for the year	**(593,521,161)**	**(642,399,645)**	**48,878,484**	**-7.6%**
Net Profit %	**-6.0%**	**-8.6%**		

Commentary:
Analysis shows that SAL's current year revenue (2,388,752,916) has increased significantly by 31.9% compared to previous year revenue of 7,488,983,684. This is outstanding performance by TOL. This could probably be due to improvement in pandemic situation and normalization of business environment. Following the trend of revenue Increase, Cost of sales has also Increased. It has increased by 29.5% which is in line with revenue increase rate. Because of increase in revenue, Gross profit has seen incredible increment of 187.4% (to 331,382,694) from previous year GP of 115,293,586**.** Company's GP margin has increased to 3.4% from previous year GP margin of 1.5%. This is very poor performance by TOL.

Despite sharp increase in revenue and gross profit, company's net profit has made operating gloss and the loss has decrease by 7.6%. This is due to significant amount of admin and selling expenses. Selling expenses has increased this year which justified by the revenue increase rate.

Net loss percentage has increased to 6% from 8.6% of previous year. Loss has been decreased due to significant increase in GP and Other income from Cash incentive. If GP% would not change and cash incentive were not received, it would experience higher amount of net loss for the year.

In spite of having massive growth during the year, overall profitability is very poor. It is generating only 3.4% GP margin and net profit margin for the company is negative. TOL needs to focus on increasing GP margin to higher percentage and decreasing admin and selling expenses. Controlling admin and selling expenses would lead to profit for the company.

Answer to the Question # 3 (b)

Briefing Notes for Team Members

Prepared by: Engagement Manager, Textile Origin Limited Audit

Subject: Result of the financial statement analysis and addressing identified audit risks

We have received the financial statements of Textile Origin Limited for the year ended 31 December 2021 and performed analysis on those statements and available related non-financial information. Based on our analysis we have identified following risk areas:

Inappropriate revenue recognition:
TOL has experienced a significant increase in Revenue (31.9%) from previous year. Although it could be explained by improvement of overall Covid Pandemic situation. However, we need to check whether there is any other reason for revenue increase like in appropriate revenue recognition. Management might adjust customer advance in appropriately by recognizing revenue to show better financial position. This could be reasonable as company's liquidity and performance ratios are not positive. However, efficiency ratio has improved. As this is a significant component of the financial statements and primary source of profitability of the company, we have to check the reason this sharp increase. Furthermore, we must consider probable risks material misstatements in revenue.

Procedures to be followed:
- Understand revenue arrangements.
- Review the sales process and identify the risk of misstatements.
- Identify the controls available in the sales process and check for their operation and design effectiveness.
- Perform monthly, customer wise or product wise sales analysis.
- Check for reasons for revenue decrease.
- Obtain explanation from management for reason for sharp decrease.
- Perform substantive analysis on the suspected areas.

Cost of revenue:
Cost of sales also experienced sharp increase from previous year. Following the revenue increase, Cost of sales has also increased by 29.5%. We need to confirm whether the cost of sales increase is supported by the revenue increase.

Procedures to be followed:
- Identify the cost components and how they are determined.
- Review the prime costs and allocation of factory overheads.
- Review the component of factory overheads and confirm for accuracy.
- Review the costing methods
- Identify the controls available in the costing process.

Understatement of post-employment obligation:
Management has not performed actuarial valuation of post-employment obligations. As a result, obligation for post-employment benefit and related expenses has been understated. There is risk of significant misstatement of financial statements.

Procedures to be followed:
- Discuss with management and understand the reason for not performing actuarial valuation.
- Perform alternative procedures to estimate the liability.

- If management is not able to provide any supporting evidence supporting approximation of post obligation liabilities, consider modifying the audit report.

Risk that going concern assumption is inappropriate:
Analysis of financial statements shows that TOL has very low level of liquidity, it is making continuous loses. Furthermore, its net profit margin and return on asset is very low. Asset turnover is also very poor. This clearly indicates that TOL his going though financial hardship and has a threat to going concern.

Procedures to be followed:
- Obtain management assessment of company's going concern.
- Check whether management assessment is appropriate.
- Obtain financial forecast for next 4 to 5 years.
- If company is not going concern, we must suggest management to prepare financial statements under liquidation basis.
- We also confirm whether adequate disclosure has been made in the financial statements.
- Conclude on the financial statements and prepare audit opinion.

Answer to the Question # 4 (a + b)

IFRS16 may be a key audit risk for Willis Limited requiring specific focus by KPwC especially relating to the following areas:
- The assessment of the value of the RoU asset
- The depreciation of the RoU asset
- The lease liability
- The discount rate used to assess the lease liability
- The lease interest expense

The further major risk is the fact that within 2 years from reporting date the condition will expire at which stage the contract will most likely be terminated in the absence of regulatory approval. This will have an impact on the points mentioned above (RoU asset, depreciation, lease liability, discount rate & interest expense).

IFRS 16 was issued in January 2016 and applies to annual reporting periods beginning on or after 01/01/19. The lease contact was entered in to from 01/07/18 and the reporting period beginning on or after 01/01/19 is the period from 01/07/19 to 30/06/20, therefore the current reporting period is the initial period of application of IFRS16.

A lessee shall either apply IFRS16 with full retrospective effect in which case comparative data will need to be restated, or alternatively not restate comparative information but recognise the cumulative effect of initially applying IFRS 16 as an adjustment to opening equity at the date of initial application [IFRS 16:C5, C7]. KPwC will need to understand managements selected application option and ensure that:
- Under the full retrospective option, all comparative data is correctly calculated and opening balances for the comparative data for RoU assets, Accumulated depreciation, Lease Liability and Interest liabilities are accurately calculated.
- Under the modified retrospective option, opening balances for the current period for RoU assets, Accumulated depreciation, Lease Liability and Interest liabilities are accurately calculated.

<u>IAS16 (Plant, Property, Equipment)</u>
On 1st July 2018, Willis Limited invested BDT 20m in leasehold improvements, BDT 6m in Computer equipment, BDT 6m in furniture and BDT 4m in electrical installations. The computers, furniture and electrical installations may be moveable and therefore disposable at the end of 4 years, recognizing any gain or loss on disposal in Profit or loss in the year of disposal.

However, the lease contract at the onset was for 6 years and based on the regulatory conditions and the intentions of the shareholders of Willis Limited the contract may be terminated at the end of 4 years. It is therefore likely that the depreciation method was incorrect since July 2018 and requires further review in light of the shareholders intentions, especially as Leasehold improvements tend to be immovable.

As a result, a key audit risk relates to the depreciation method applied to leasehold improvements at Monarch College, where KPwC should focus their attention.

IAS37 (Provisions, Contingent Liabilities & Continent Assets)

The lease contract included a clause requiring Willis Limited to return the property back to the property owner in the same condition in which it was received at the start of the contract subject to normal wear and tear. Willis Limited has invested BDT 20m in leasehold improvements which would indicate that substantial changes were made but upon termination of the contract the property would have to be reinstated to its original condition. Based on both IAS16 & IAS37, the entity should have a provision for this expense and this provision may be accrued over the lease term subject to any subsequent modification.

As a result, a key audit risk relates to the reinstatement provision required for the lease contract, where KPwC should focus their attention.

IFRS15 (Revenue from Contracts with Customers)

Ideally, fee revenue should be recognized when (or as) the entity satisfies a performance obligation, i.e. during term time, however, term time for the full academic year falls within the financial year, and therefore recognition of revenue on a monthly basis does not give rise to any variation to the requirements of IFRS15.

On 27th March 2020 due to the Global COVID Pandemic the Government of Bangladesh declared a lockdown which continued until June 2020, as a result, Monarch College was unable to deliver any classes to students during this period. In other words, it is unlikely the entity was able to satisfy its performance obligation.

As a result, a key audit risk relates to revenue recognition for the period March to June 2020, where KPwC should focus their attention subject to materiality.

IFRS9 (Financial Instruments)

Over the past two years the total tuition fee receivable is expected to be BDT 24m (BDT 24m * 2 years * 50%) which equates to 12% of total assets of Willis Limited.

As a result, a key audit risk relates impairment of tuition fees receivables, where KPwC should focus their attention.

IAS8 (Accounting Policies, Changes in Accounting Estimates and Errors)

The depreciation period for leasehold improvements was set at 10 years whereas the lease life was 6 years and therefore potentially erroneous. This would give rise to prior period errors. The change from 6 to 4 years is only a recent development so should not have any further impact.

The absence of a reinstatement provision is potentially erroneous and would give rise to prior period errors.

The absence of any tuition fee impairment provisions is potentially erroneous and would give rise to prior period errors.

As a result, a key audit risk relates to correction of prior period errors, where KPwC should focus their attention subject to materiality.

IAS1 (Presentation of Financial Statements)

The annual revenue from tuition fees from Monarch College is BDT 24m (BDT 200k x 120 students) and from hostel fees is another BDT 24m (BDT 200k x 120 students), in total BDT 48m. This represents 12.46% of the total revenue of Willis Limited which is material.

The rental cost of the premises is BDT 30m (BDT 2.5m p/m * 12) and other operating costs are BDT 18m (BDT 1.5m * 12). Therefore, total expenses are BDT 48m, resulting in essentially no profit (before application of IFRS16).

In addition, on a cashflow basis, as all 120 students have opted for paying 50% of their tuition fees after they are in employment with Willies Limited over a period of 3 years, the cashflow for Monarch College is negative with potentially BDT 24m of receivables (BDT 24m * 2 years * 50%).

With condition of purchasing land and building a campus and hostel but with the new majority shareholders inclined not to want to make such an investment, means the future of Monarch College is questionable.

In addition, with the lockdown and an uncertain future, it is also questionable whether the 1st batch of students will graduate as expected in 2022, which also raises questions over recoverability of the student receivables.

Based on the above factors, Going Concern may be a key audit risk for Willis Limited requiring specific focus by KPwC.

Answer to the Question # 5 (a) (i)

Professional misconduct by the firm:

Accepting client without performing client and engagement acceptance assessment:

My firm have received appointment of CETL audit on 01 October 2021 and accepted appointment on the same date. Firm have not performed required procedures under ISA to assess whether the client and the engagement can be accepted. This is significant misconduct by the firm because there could be possible independence threat associated with the client or may cause service conflict of interest. Furthermore, there might be inadequate resource available in the firm to perform the audit.

Accepting clients without obtaining professional clearance:

My firm has accepted the client on the same date it has received appointment. It subsequently sent a request for professional clearance from predecessor auditor and obtained the clearance. However, as per the auditing standards, firm should accept appointment after it receives professional clearance. Clearance from predecessor auditor is required to confirm the prior year auditor is removed following the legal steps and there is no independence threat that could restrict accepting the client and the engagement. If the clearance is not obtained, there could be cases that previous firm was not properly removed and hence appointment of new auditor is not valid. Furthermore, previous auditor might highlight issues that could be potential independence threat to the new firm. As my firm accepted client without obtaining professional clearance from predecessor auditor, it has done a professional misconduct.

Non-performance of opening balance procedures:

This is the first year of my firm to audit CETL. As first year auditor, firm is required to perform opening balance procedures and review predecessor auditors work papers. However, my firm have not performed any procedures on confirming the opening balance. If opening balance is not confirmed, it would be difficult for auditor to express an opinion on the closing balances. Expressing opinion without checking opening balance is a professional misconduct.

Answer to the Question # 5 (a) (ii)

Impact of Covid-19 on audit:

Because of the covid pandemic, auditor need to consider several matters that impact the audit and revise risk assessment. Following are some of the impacts on audit arising from covid pandemic and related audit procedures:

- ***Incremental fraud risks arising from covid-19:***
  Due to covid pandemic, fraud risks have evolved due to ineffective internal control. As auditor, we need to review the controls and test whether those controls are operating and effective.

- ***Unavailability or poor quality of audit evidence:***
  Due to covid pandemic there could be situation whether auditor could not perform audit procedures or audit evidence is not available. Furthermore, the audit quality may be very poor, and it might be difficult to conclude on this evidence. For example, in case of CETL, audit team were unable to perform physical count of

inventories held by third party and received a confirmation which is prior to year-end. That means there could be change of inventory by the year end. Also, the confirmation was not received directly by the auditor, and it could be forged. So, expressing opinion based on third party confirmation may lead to incorrect opinion.

- **Incorrect estimation of financial assets/liabilities:**
  During pandemic, assumptions used by the management to estimate the liabilities may be incorrect. Furthermore, management may not disclose or consider all the relevant assumptions to misstate the financial liabilities. Auditor should put more focus on the management estimations like Expected Credit Loss or provisions and verify the appropriate use of assumptions based on best available information.

- **Non-disclosure of material subsequent events:**
  Auditors are required to obtain sufficient and appropriate audit evidence in relation to subsequent events. However, auditors might miss out adjusting subsequent events due to covid pandemic and consider its impact in the financial statements.

- **Threat to going concern:**
  Pandemics like Covid hampers business significantly. Most business performs badly during these challenging times. Therefore, revenue decreases and incur loss. This raises threat to going concern. If the entity has going concern threat but prepare financial statements based on going concern assumptions, financial statements will be misstated. Furthermore, to avoid threat to going concern, often management trends to skip recognition of provisions or actual expenses to understate expenses which will lead to lower loss or at least some profit in the statement of financial performance.

- **Not recognizing impairment of assets:**
  In many cases, entities perform with idle capacity during pandemic. Furthermore, recoverable value of the capitalized asset decreases. Which in turn increases chances of impairment of assets including inventories. It is very common that management do not perform impairment assessment and hence does not recognize impairment expenses. Which in turn misstate the financial statements. Auditors should obtain impairment assessment and check the assumptions used and calculations performed by management.

- **Overstatement of assets acquired:**
  Because of covid-19 related frauds, management may acquire overpriced or non-existent assets. Auditors need to be vigilant on the asset acquired by management during pandemic specially from the vendors who is not regular supplier to the entity.

- **Modification of audit opinion:**
  As explained above, significant risks increase during covid 19. To address those risks, auditor need to perform additional procedures. During the audit, auditors might come across to uncorrected misstatement in financial statements by management or unavailable or poor quality of audit evidence. Also, there could be situation where auditor could not perform required audit procedures. All these matters could lead auditor to modify the audit opinion and issue modified audit report.

Answer to the Question # 5 (a) (iii)

Occupational fraud and corruption occur when there is opportunity, motive and rationalization. Because of the covid like pandemic, there are lots of changes in the business operation from regular practice. This provides opportunities to commit fraud. Furthermore, in situation like covid pandemic, business suffer considerably, and people suffer financial loss. This creates a motive to commit fraud. At that circumstances people rationalize that benefit from committing fraud will help the organization or ensure survival of the person committing fraud.

Covid-19 related fraud risks:

Ineffective internal controls:
Workforces working remotely could mean controls become less effective. Controls may not have been designed for complete remote working conditions (e.g. review of supporting documentation for payments, critical pressure on segregation of duties due to limited workforce availability). In case of CETL, email approvals are taken in terms of

purchase and the proof of approval is used to release the payment. If anyone falsifies approval emails, they could use these fake documents to release unauthorized persons for personal benefits.

Exposure to new vendors:
Many supply chains will be interrupted with clients needing to augment usual suppliers with new ones. There is a risk these suppliers may not be the right people to do business with, particularly if they are operating in unknown or foreign jurisdictions. Suppliers who hold out that "they can get things done when others cannot" should be considered very high risk, as often the delivery of these services include breaches of foreign bribery laws and straight-out fraud committed against you. Furthermore, there may be cases that employees referred their personal business or their family relative business as new vendors where sufficient due diligence is not done.

Understating provisions and derecognition of expenses:
In covid like pandemics, business faces financial turbulence which raises risk to going concern status. Most companies make losses during these pandemics and management feels pressure to report at least a bare minimum profit to boost confidence of the stakeholders. So, management often do not properly make assessment of the assumptions on the provisions and increases contingent liabilities. Furthermore, management trends to not recognize expenses and reports incremental revenue or income which is completely made up.

Appropriate procedures to address them:
When opportunity, rationalization and motive rise significantly and concurrently the threat of fraud and corruption is substantial. There is a significant risk of a substantial and potentially material fraud or corrupt event occurring in organizations. There are three immediate steps to take to reduce the risk:

- Immediately, refresh or execute a fraud and corruption threat assessment
- Identify controls that are not effective in the current context
- Calibrate or augment controls as required

Organizations must mobilize quickly to identify which fraud and corruption controls are not effective and what new fraud and corruption risks have materialized. Now is not the time to be complacent.

Answer to the Question # 5 (b) (i)

Key fundamental principles affected:
Integrity:
As I was not able to express my concern to manager, it raises a question on my integrity that
whether can I be open and honest about the situation? Would it be right to attempt to complete work that is technically beyond my abilities, without proper supervision?

Professional competence and due care:
I have been assigned with a task which I do not have experience. In this situation it creates an issue of professional competence and due care. It raises a question whether is it possible to complete the work within the time available and still act diligently to achieve the required quality of output?

Professional behavior:
Another ethical issue involved is professional behavior. It raises question that whether can I refuse to perform the work without damaging your reputation within the practice? Alternatively, could the reputation of the practice suffer if I attempt to perform the work?

Considerations
In order to resolve these issues, we need to consider following factors:

Identify relevant facts:
My firm is under pressure due to the sickness of a staff member. However, the work I have been asked to perform is beyond experience of my level. We need to determine whether the deadline can be extended and what other resources might be available to the practice. My firm also need to consider the policies and procedures of the practice, as well as ICAB code of ethics.

Identify affected parties:
Key affected parties are me, my manager, the practice, its other employees and the client.

Who should be involved in the resolution:
In the first instance, I should attempt to resolve the issue with my manager, although it may be necessary to involve the partner of the practice. I might, at an appropriate stage, suggest that the client be involved.

Answer to the Question # 5 (b) (ii)

I should explain to my manager that I do not have sufficient time and experience to complete the work to a satisfactory standard. However, I should demonstrate a constructive attitude, and suggest how the problem may be resolved. For example, I might suggest the use of a subcontract bookkeeper, or contacting the client to enquire if the deadline might be extended so that the work may be performed when I return from study leave or when my colleague returns from sick leave. I might also explore the possibility of assigning another member of staff to supervise my work.

If I feel that my manager is being unsympathetic or simply fails to understand the issue, I should consider how best to raise the matter with the person within the practice responsible for training. it would be diplomatic to suggest to my manager that I raise the matter together and present my respective views. This would have the added advantage of involving a third party.

It would be unethical to attempt to complete the work if I doubt my competence. However, simply refusing to, or resigning from my employment, would cause significant problems for both I and the practice. I could consult my professional body. If I seek advice from outside the practice (for example legal advice), I should be mindful of the need for confidentiality as appropriate.

I should document, in detail, the steps that I take in resolving my dilemma, in case my ethical judgement is challenged in the future.

---The End---